

facts. “The elements of negligent interference with prospective economic advantage are (1) the existence of an economic relationship between the plaintiff and a third party containing the probability of future economic benefit to the plaintiff; (2) the defendant’s knowledge of the relationship; (3) the defendant’s knowledge (actual or construed) that the relationship would be disrupted if the defendant failed to act with reasonable care; (4) the defendant’s failure to act with reasonable care; (5) actual disruption of the relationship; (6) and economic harm proximately caused by the defendant’s negligence.” (*Redfearn v. Trader Joe’s Co.* (2018) 20 Cal.App.5th 989, 1005.) As with the fifth cause of action, defendant argues plaintiff does not plead facts showing defendant’s knowledge of any economic relationship.

Plaintiff states in paragraphs 39-40 that defendant knew of his relationships with tenants. As noted above, defendant contends the statement is conclusory. A complaint need only state the facts constituting the cause of action in ordinary and concise language. (Code Civ. Proc., § 425.10 (a)(1).) With respect to matters of which the defendant has superior or co-extensive knowledge, such as allegations regarding knowledge or intent, less particularity is required so long as the pleading gives notice of the issues sufficient to enable preparation of a defense. (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 549-550)

The demurrer is overruled as to the sixth cause of action.

4) Seventh Cause of Action (Intentional Interference with Prospective Economic Relations)

Defendant contends that the seventh cause of action fails for the same reasons discussed above. Specifically, that plaintiff fails to plead facts to support that defendant knew of any economic relationship that would benefit plaintiff. For the same reasons as discussed above, the argument is rejected and the demurrer to the seventh cause of action is overruled.

5. 9:00 AM CASE NUMBER: C25-00878
CASE NAME: ANGELA YEUNG VS. JP MORGAN CHASE BANK NATIONAL ASSOCIATION
HEARING ON DEMURRER TO: 1ST AMENDED COMPLAINT
FILED BY: JP MORGAN CHASE BANK NATIONAL ASSOCIATION
TENTATIVE RULING:

Introduction

Before the Court is Defendants JPMorgan Chase Bank, N.A. and Stacey Pearson’s Demurrers and Motions to Strike. The Demurrers and Motions to Strike relate to Plaintiff’s FAC for ten causes of action for employment-related claims.

For the following reasons, the **Defendant Chase’s Demurrer is sustained in its entirety with leave to amend. The Demurrer for causes of action two, four, eight, nine, and ten are sustained without leave to amend as to Defendant Pearson. The Demurrer for causes one, three, five, six, and seven are sustained with leave to amend as to Defendant Pearson.**

Meet and Confer Requirement

Defendants satisfied their meet and confer requirement regarding their Demurrers and Motions to Strike in detailing their meet and confer efforts with Plaintiff’s counsel in the Declarations of Ashley

Farrell Pickett and Oscar E. Peralta. Defendants' Counsel details their various meet and confer efforts with Plaintiff's counsel via phone and email from June to August 2025. After a series of phone calls and emails the Parties were unable to reach an agreement. (Pickett Decl. at ¶¶ 2-6; Peralta Decl. at ¶¶ 2-3.)

The Court is a bit underwhelmed to hear that the Parties were unable to reach a stipulation to amend when a Party offers amendment in response to another Party's concern. (Augustt Decl. at ¶¶ 5-9.) This exchange and expected cooperation is the breath that gives life to the meet and confer process. The Court expects that the Parties will work cooperatively together to move this case along expeditiously going forward.

Statement of Facts

Plaintiff Angela Mei Yi Yeung alleges she was a long-term employee of JPMorgan Chase Bank with a strong performance record based on her long tenure. It was not until Defendant Stacey Pearson became Plaintiff's supervisor that the issues commenced. The FAC alleges that Pearson engaged in discriminatory and harassing conduct based on Plaintiff's Taiwanese and Chinese heritage, including reprimanding her for speaking Cantonese, making derogatory cultural remarks, and creating a hostile environment. (FAC ¶¶ 15, 18–24.) Pearson also engaged in age-based hostility, making repeated age-related comments and imposing heightened scrutiny on Plaintiff not imposed on younger employees. (FAC ¶¶ 49, 53–56.) Plaintiff reported the conduct to Human Resources and management multiple times, but the bank failed to intervene. (FAC ¶¶ 32–36.) Shortly after engaging in protected activity, Plaintiff was terminated. (FAC ¶¶ 58, 89–92.)

Legal Standard for Demurrer

"The function of a demurrer is to test the sufficiency of the complaint as a matter of law." (*Holiday Matinee, Inc. v. Rambus, Inc.* (2004) 118 Cal.App.4th 1413, 1420.) A complaint "is sufficient if it alleges ultimate rather than evidentiary facts" (*Doe v. City of Los Angeles* (2007) 42 Cal.4th 531, 550 ("Doe")), but the plaintiff must set forth the essential facts of his or her case "with reasonable precision and with particularity sufficient to acquaint [the] defendant with the nature, source and extent" of the plaintiff's claim. (*Doheny Park Terrace Homeowners Assn., Inc. v. Truck Ins. Exchange* (2005) 132 Cal.App.4th 1076, 1099.) A complaint must be "liberally construed" and a demurrer "overruled if any cause of action is stated by the plaintiff." (*Amacorp Industrial Leasing Co. v. Robert C. Young Associates, Inc.* (1965) 237 Cal.App.2d 724, 727.)

Legal conclusions are insufficient. (*Id.* at 1098–99; *Doe* at 551, fn. 5.) The Court "assume[s] the truth of the allegations in the complaint, but do[es] not assume the truth of contentions, deductions, or conclusions of law." (*California Logistics, Inc. v. State of California* (2008) 161 Cal.App.4th 242, 247.) A demurrer lies only for defects appearing on the face of the complaint or from matters of which the court must or may take judicial notice. (CCP 430.40; see *Blank v. Kirwan* (1985) 39 Cal.3d 311, 318.) A demurrer may be filed to one of several causes of action in a complaint. (Cal. R. Ct. 3.1320(b).)

Analysis

Plaintiff's Discrimination Claims (Causes 2 and 4)

To allege a prima facie discrimination claim, a plaintiff must allege that "(1) [s]he was a member of a protected class, (2) [s]he was qualified for the position [s]he sought or was performing competently in the position [s]he held, (3) [s]he suffered an adverse employment action, such as termination, demotion, or denial of an available job, and (4) some other circumstance suggests discriminatory

motive.” (*Martin v. Bd. of Trustees of Cal. State U.* (2023) 97 Cal. App. 5th 149, 162.) As to this last element, “[a] plaintiff must establish a causal nexus between the adverse employment action and [her] protected characteristic.” (*Id.*)

First, Defendant Chase argues that Plaintiff fails to factually allege that she was performing her job satisfactorily. (Chase Demurrer at p.14: 4-9.) Plaintiff's opposition did not address Defendants' arguments on this issue. "Every brief should contain a legal argument with citation to authorities on the points made. If none is furnished on a particular point, the court may treat it as waived and pass it without consideration." (*People v. Stanley* (1995) 10 Cal.4th 764, 793.)

Second, Defendant Chase argues that Plaintiff fails to allege the causation element of her discrimination claims. The Court agrees. Plaintiff fails to allege the circumstances that suggest a discriminatory motive and as Defendants have pointed out, Plaintiff does not even allege who specifically made the termination decision. (Demurrer at p. 14: 17-19.)

Plaintiff's Harassment Claims (Causes 1 and 3)

To establish a prima facie case of harassment under FEHA, a plaintiff must show “(1) [s]he was a member of a protected class; (2) [s]he was subjected to unwelcome . . . harassment; (3) the harassment was based on [the plaintiff's membership in an enumerated class]; (4) the harassment unreasonably interfered with [her] work performance by creating an intimidating, hostile, or offensive work environment; and (5) [defendant] is liable for the harassment.” (*Martin v. Bd. of Trustees of California State Univ.* (2023) 97 Cal. App. 5th 149, 170; citing *Thompson v. City of Monrovia* (2010) 186 Cal. App. 4th 860, 876.)

Defendants argue that the FAC lacks factual allegations describing the nature of the conduct Plaintiff declares was harassment. Without such requisite facts, neither Defendant nor the Court can determine whether the unalleged conduct created a hostile work environment. (Demurrer at p. 16: 5-7.) The Court concurs. Without pleading any factual allegations describing the conduct of the alleged harassers, Plaintiff fails to allege any facts from which the severity of the conduct could be determined.

Defendants further argue that Plaintiff fails to allege any facts describing the pervasiveness of the purported harassment, as required. (*Lyle v. Warner Bros. Television Prods.* (2006) 38 Cal. 4th 264, 283 (“With respect to the pervasiveness of harassment, courts have held an employee generally cannot recover for harassment that is occasional, isolated, sporadic, or trivial; rather, the employee must show a concerted pattern of harassment of a repeated, routine, or generalized nature.”).) No factual allegations are made describing what was said, by whom, when or how often, the context in which the conduct occurred, or any other factual allegations that make the requisite showing of pervasiveness. Plaintiff summarily alleges that at some unidentified times, Defendant Pearson purportedly said unspecified things that she now characterizes in conclusory fashion as “hostile, intimidating, offensive, oppressive, or abusive.” [See FAC ¶ 35.] This does not establish pervasive harassment.

Plaintiff's Retaliation Claims (Causes 5 and 6)

“[I]n order to establish a prima facie case of retaliation under the FEHA, a plaintiff must show (1) he or she engaged in a ‘protected activity,’ (2) the employer subjected the employee to an adverse employment action, and (3) a causal link existed between the protected activity and the employer's action.” (*Yanowitz v. L'Oréal USA, Inc.* (2005) 36 Cal. 4th 1028, 1042.) These same elements apply to a whistleblower retaliation claim under Labor Code section 1102.5. Specifically, section 12940(h) makes

it an unlawful employment practice “[f]or any employer ... to discharge, expel, or otherwise discriminate against any person because the person has *opposed any practices forbidden under this part or because the person has filed a complaint, testified, or assisted in any proceeding under this part.*” (*Id.*)

Although Plaintiff does plead that she reported the alleged discrimination and harassment to HR, as explained above, Plaintiff does not allege sufficient factual allegations for her discrimination or harassment claims. As such, it is impossible for Plaintiff to successfully plead a retaliation cause of action for alleged discrimination and harassment that Plaintiff has not alleged sufficient facts for. Additionally, Plaintiff has not alleged enough facts about how she put Defendants on notice about the unlawful actions. The relevant question ... is not whether a formal accusation of discrimination is made but whether the employee's communications to the employer sufficiently convey the employee's reasonable concerns that the employer has acted or is acting in an unlawful discriminatory manner. (*Yanowitz v. L'Oreal USA, Inc.* (2005) 36 Cal.4th 1028, 1047.)

Plaintiff's Failure to Prevent Discrimination, Harassment, or Retaliation Claim (Cause 7)

Plaintiff's purported failure to prevent claim fails because she cannot establish the underlying discrimination, harassment, or retaliation. California Government Code § 12940(k) provides that “[i]t shall be an unlawful employment practice, unless based upon a bona fide occupational qualification . . . [f]or an employer . . . to fail to take all reasonable steps necessary to prevent discrimination and harassment from occurring.” But there can be no violation of section 12940(k) absent a finding of actual discrimination, retaliation, or harassment. (*Trujillo v. N. Cnty. Transit Dist.* (1998) 63 Cal. App. 4th 280, 289 (“[T]here's no logic that says an employee who has not been discriminated against can sue an employer for not preventing discrimination that didn't happen, for not having a policy to prevent discrimination when no discrimination occurred . . .”).)

Plaintiff's Failure to Engage in the Interactive Process Claim (Cause 8)

Government Code section 12940(n) requires employers to “engage in a timely, good faith, interactive process with the employee . . . with a known physical or mental disability or known medical condition.” Put simply, the purpose of this statute is to ensure an employee's known disabilities are accommodated in the workplace. The statute does not, as Plaintiff contends, impose any obligation on employers regarding ordinary personnel management, including engaging “in a good-faith intervention process to address any issues with Plaintiff's performance that concerned her superiors . . .” (FAC ¶ 90.)

To properly allege a claim for failure to engage in the interactive process, Plaintiff must show that: “(1) [she] has a disability or medical condition that was known to the employer, (2) [she] requested that [her] employer make a reasonable accommodation for that disability so that [she] could perform [her] job duties, (3) the employer failed to participate in a timely, good faith interactive process with [her], and (4) the employer's failure to engage in a good faith interactive process was a substantial factor in causing [Plaintiff's] harm.” (*Gelfo v. Lockheed Martin Corp.* (2006) 140 Cal. App. 4th 34, 61.)

Here, Plaintiff alleges that some unidentified person told her that “she could not take time off due to a lack of coverage.” (FAC ¶ 91.) Plaintiff fails to identify the reasonable accommodation that Plaintiff requested.

Plaintiff's Negligent Hiring, Training, and Supervision Claim for (Cause 9)

“Liability for negligent supervision and/or retention of an employee is one of direct liability for negligence, not vicarious liability.” (*Delfino v. Agilent Technologies, Inc.* (2006) 145 Cal. App. 4th 790,

815.) To establish such a claim, a plaintiff must “plead that she suffered a certain harm, that this harm was substantially caused by the defendant’s employee, and that this harm would not have occurred if the defendant had properly vetted, supervised, or retained the employee.” (*Lopez v. Watchtower Bible & Tract Soc’y of New York, Inc.* (2016) 246 Cal. App. 4th 566, 591.) The tort’s intent is to punish defendants who knew, or should have known, of their employee’s propensity to commit the harm in question but failed to take reasonable steps to prevent the harm from occurring to the plaintiff. (*Id.*)

Plaintiff alleges that “PEARSON” and “others” purportedly “perpetrated aggressive and hostile discrimination and/or harassment . . . based on her medical condition, national origin, age, and whistleblower status.” (FAC ¶ 98.) Like the previous causes of action, Plaintiff offers no facts from which the Court could even infer that Defendant knew or should have known that “PEARSON” and unidentified “others” had a propensity to engage in the purported unlawful conduct. Plaintiff must factually describe what “PEARSON” and unidentified “others” did wrong, when it occurred, where it occurred, how she was harmed by this conduct, and how Defendant knew or should have known about this behavior before it occurred. Instead, Plaintiff offers only the naked conclusion that Defendant “condoned, encouraged, tolerated, sanctioned, ratified, approved of, and/or acquiesced in the discrimination and harassment.” (FAC ¶ 99.)

Plaintiff’s Wrongful Termination Claim (Cause 10)

In support of this cause of action, Plaintiff offers only the conclusion that Defendant’s “violations of Plaintiff’s rights, due to every member of protected classes, violated civil rights laws and Government Code and proximately caused Plaintiff’s damages” [FAC ¶ 114.] These conclusions do not state a claim. (See *Hawkins v. TACA Int’l Airlines, S.A.* (2014) 223 Cal. App. 4th 466,478 (“When we review a ruling on a demurrer, we do not assume the truth of contentions or conclusions of fact or law[.]”.) Setting aside its conclusory nature, Plaintiff’s wrongful termination allegations also fail because they hinge on the viability of her FEHA causes of action. Accordingly, the allegations are derivative and must fail as Plaintiff has not stated a viable predicate claim

Individual Liability For Defendant Pearson Exists Under FEHA Harassment Claims

Government Code § 12940(j)(3) expressly permits individual liability for harassment. (See *Reno v. Baird* (1998) 18 Cal.4th 640, 645–46 (individual liability applies to harassment); *Jones v. The Lodge at Torrey Pines* (2008) 42 Cal.4th 1158, 1162 (same); *Raines v. U.S. Healthworks* (2023) 15 Cal.5th 268 (reaffirming individual liability for harassment claims). Harassment includes “conduct outside the scope of necessary job performance,” including “derogatory comments, insults, and epithets.” (*Roby v. McKesson* (2009) 47 Cal.4th 686.) Harassment can also apply to a single severe incident under FEHA.” (*Miller v. Dept. of Corrections* (2005) 36 Cal.4th 446, 462.)

Since individual liability only exists as to harassment-based claims, all non-harassment-based claims must fail. The Demurrer for causes of action two, four, eight, nine, and ten are sustained without leave to amend as to Defendant Pearson. The Demurrer for causes one, three, five, six, and seven are sustained with leave to amend as to Defendant Pearson.

Conclusion

For the reasons analyzed above, **Defendant Chase’s Demurrer is sustained in its entirety with leave to amend. The Demurrer for causes of action two, four, eight, nine, and ten are sustained without leave to amend as to Defendant Pearson. The Demurrer for causes one, three, five, six, and seven are sustained with leave to amend as to Defendant Pearson.**